



Order under Section 57 Residential Tenancies Act, 2006

Citation: Decosse v McElroy, 2026 ONLTB 1692

Date: 2026-01-08

File Number: LTB-T-051418-25

In the matter of: 137 MONMORE RD
LONDON ON N6G2W7

Between: Taylor Decosse Tenant

and

Tara McElroy Landlord

Taylor Decosse (the 'Tenant') applied for an order determining that Tara McElroy (the 'Landlord') gave a notice of termination in bad faith.

This application was heard by videoconference on December 8, 2025.

The Tenant, her legal presentative Carmen Dawdy and the Landlord attended the hearing.

Determinations:

1. As explained below, the Tenant proved the allegations contained in the application on a balance of probabilities. Therefore, the Landlord must compensate the Tenant for her reasonable out-of-pocket moving costs.
2. To succeed on this application, the Tenant must prove each of the requirements of paragraph 57(1)(a) of the *Residential Tenancies Act, 2006* (the 'Act') on a balance of probabilities:
 - (a) The Landlords gave the Tenants notice of termination under section 48 of the Act (an N12);
 - (b) The Tenants vacated the rental unit as a result of the N12 Notice;
 - (c) No person referred to in subsection 48(1) of the Act occupied the rental unit within a reasonable time after the Tenant vacated; and
 - (d) The Landlord served the N12 Notice in bad faith.
3. The Act also contains a reverse onus in subsections 57(5) and 57(6) that say if a landlord gives a notice under section 48 and then puts the unit up for sale within one year of the

tenant vacating, the landlord is presumed to have given the notice in bad faith “unless the contrary is proven on a balance of probabilities.” Because the Landlord advertised the rental unit for sale within a year of the Tenant vacating, the Landlord carries the burden to prove it is more likely than not she was not acting in bad faith in giving the N12 Notice to the Tenant. For reasons that follow, I find the Landlord has failed to discharge her burden.

4. The parties agreed the Landlord served the N12 Notice and that the Tenant vacated on March 31, 2025. But the Landlord submitted that the Tenant vacated not as a result of the N12 Notice but because she was planning to move anyway. The Tenant acknowledged that she had mentioned her plans to move house but testified that the timing was dictated by the N12 Notice and she would not have selected March 31, 2025 as the date of termination but for the N12 notice. The Tenant testified she has two special needs children and given the choice she would have taken longer to select her next home and make necessary arrangements to transition her children. I accept the Tenant would not have vacated the rental unit on March 31, 2025 but for the N12 Notice and find on a balance of probabilities that the Tenant vacated the rental unit as a result of the notice of termination within the meaning of subsection 57(1) of the Act.
5. The Landlord explained that when her lengthy divorce proceedings were finally resolved in December 2024, she was left in dire financial straits with substantial debts. Therefore she took advice from realtors and determined she would repossess this rental unit and renovate it for her use so she could renovate and sell her current home. Thus the Landlord gave the Tenant the N12 notice in January appointing March 31, 2025 as the date of termination.
6. The Landlord’s well-laid plans were derailed when the Landlord’s contractors discovered that the Tenant had damaged the rental unit to the point that restoration was not possible. The Landlord was not prepared to live in the rental unit under those conditions so she had no choice but to list the rental unit for sale in June 2025.
7. In the first place, the Landlord testified that she discovered the rental unit was unsafe for habitation because the Tenant had caused mould. Quite apart from the fact that there is no mention of any mould problems throughout this six-year tenancy, I must reject the Landlord’s assertion because it makes no sense. The Landlord testified the mould was discovered in the unit during pre-sale inspections done by prospective purchasers; that is to say, after she had listed it for sale. Therefore The Landlord’s decision to sell was made before mould had been discovered not because of it.
8. Second, the Landlord says the unit was uninhabitable because Tenant had allowed her pets to void themselves throughout the unit causing an unyielding smell. The Landlord testified she inspected the rental unit in the company of a realtor at some point in February or March of 2025—that is before Tenant vacated. They both observed the noxious smells but at the time the Landlord had hoped to be able to remove it. Some of the Landlord’s contractors determined they were not prepared to work in the rental unit because the smells were too strong and another demanded extra wages for the hardship. In the event, remediation proved impossible so the Landlord had to sell the rental unit at a discount.
9. The Tenant denied that her pets soiled the rental unit pointed to the fact that she had received no complaints about it from the Landlord throughout this tenancy. But I don’t need to resolve that controversy. Rather I must reject the Landlord’s explanation because

she gave only vague descriptions of remediation efforts and filed no corroboration of those efforts. I can infer from this lack of evidence that the Landlord did not engage the services of any professionals to de-odorize the rental unit. I find there is insufficient credible evidence to prove that the Landlord had no choice but to sell the rental unit because the smell of pet waste had permeated the rental unit to the point that it was irremediable.

10. I find the Landlord has failed to prove on a balance of probabilities that she was not acting in bad faith in giving the Tenant the N12 Notice. Therefore the application must be granted.
11. Having proven the grounds for her application, the Tenant is entitled to those remedies that she can prove on a balance of probabilities.
12. The Tenant will be awarded \$472.08 for the reasonable out-of-pocket moving expenses because that claim was proven on a balance of probabilities with reference to an invoice and because I find it to be a fair and reasonable amount.
13. I find the Tenant's claim for increased rent must be dismissed because it has not been proven on a balance of probabilities. After vacating the rental unit, the Tenant moved into her new home under a rent-to-own agreement. The paperwork associated with that arrangement was not placed in evidence but I was told it involved paying a deposit together with some up front fees and charges in exchange for the option to buy the property outright after three years. During those three years, the Tenant committed to making blended monthly payment of \$2,900.00 of which \$2,300.00 is characterized as rent and the remainder is to be credited towards the purchase price if the Tenant exercises the option to purchase. If she does not, all monies are forfeit.
14. The Tenant also relies on a tenancy agreement of February 7, 2025 showing her new rent to be \$2,300.00 a month consisting of \$2,010.00 base rent plus \$290.00 in condo fees. I have reservations about the authenticity of this document because it names no landlord and is not countersigned by any landlord. And it speaks of a one-year term not a three-year term.
15. I draw an adverse inference from the Tenant's failure to produce cogent proof of to substantiate her claim for increased rent and of her rent-to-own agreement because I received no plausible explanation for the Tenant's failure to produce this documentation. I find the Tenant testimony that the vendor/landlord did not give it to be highly improbable.
16. An adverse inference may only be drawn in a situation when a party could have, but did not, present relevant evidence without adequate explanation. Except where expressly prohibited by law (or in some cases expressly required by law), an adverse inference is discretionary. The trier of fact may, where it is warranted upon consideration of all the circumstances, draw an adverse inference against the party who is in possession of relevant evidence but fails to produce it. The inference that may be drawn is that the evidence would be contrary to the party's case or at least would not support it. It is not a mandatory rule of law nor a rule of evidence. It is an expression of ordinary logic and human experience that may in appropriate cases inform the fact-finding exercise where, after considering all of the circumstances, the trier of fact is left wondering why relevant evidence was not presented.

17. In this case, I find the Tenant not proven her claim for increased rent on a balance of probabilities because she has failed to lead credible evidence to support it.
18. The Tenant's claim for general compensation is particularized in the application as the cost to replace personal property (namely a child's playpen) that the Tenant had to abandon when leaving the rental unit. Leaving aside whether damages of this sort are contemplated by subsection 57(3) of the Act, I find this claim must be dismissed because the Tenant testified she had not in fact abandoned the playpen as alleged in the application but had entrusted it to a friend for safekeeping.
19. The Tenant incurred costs of \$48.00 for filing the application and is entitled to be reimbursed those costs.

It is ordered that:

1. The total amount the Landlord shall pay the Tenant is \$520.08. This amount represents:
 - \$472.08 for the reasonable moving expenses that the Tenant has incurred as a result of having to move out of the rental unit.
 - \$48.00 for the cost of filing the application.
2. The Landlord shall pay the Tenant the full amount owing by January 19, 2026.
3. If the Landlord does not pay the Tenant the full amount owing by January 19, 2026, the Landlord will owe interest. This will be simple interest calculated from January 20, 2026 at 4.00% annually on the balance outstanding.

January 8, 2026

Date Issued

Nersi Makki

Member, Landlord and Tenant Board

15 Grosvenor Street, Ground Floor
Toronto ON M7A 2G6

If you have any questions about this order, call 416-645-8080 or toll free at 1-888-332-3234.